



ECONOMIC BULLETIN

Forecast update, October 2026.



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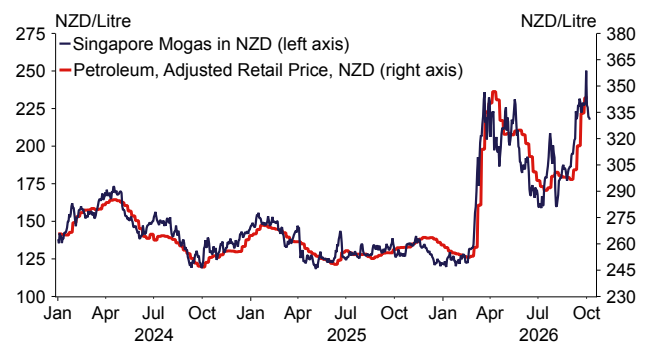
- Higher oil and refined fuels prices, a lower exchange rate, higher long term interest rates and weak house price trends justify a review of our 2026 forecasts.
- We continue to see CPI inflation falling to 3.7% y/y in the September quarter, but now think inflation will rise to 4.2% in the December quarter. Higher global fuel prices and a weaker New Zealand dollar are driving these trends.
- Commodity export prices remain robust and are reflected in a rise in our forecast for the 2026/27 Fonterra Milk Price to \$9.75/kg. Our opening bid for the Milk Price in 2027/28 is a solid \$9.50/kg.
- House prices have not stabilised as expected in recent months. As a result, we have revised down our 2026 house price forecast from a small rise to a 1.4% decline.
- The combination of high fuel costs and a weak housing market will likely crimp consumer demand running into Christmas.
- We have modestly revised down our GDP forecasts for the December quarter, which reduces our 2026 growth forecast to a still solid 2.5%. Risks appear skewed to the downside given higher energy prices and long-term interest rates.
- We will look at our 2027 forecasts in the coming week.
- Our OCR forecasts remain unchanged. We see a pause at the October meeting and a hike to 3% at the release of the December *Monetary Policy Statement*.

Inflation – All gas, no brakes.

We've updated our near-term inflation forecasts in response to recent global developments.

We continue to estimate that consumer prices rose by 0.7% in the September quarter, consistent with recent monthly prices updates from Stats NZ. That would see annual inflation ease to 3.7% in the year to September, down from 4.1% in the year to June. We'll confirm that figure next week, when the final monthly prices update for the September quarter is released on 16 October.

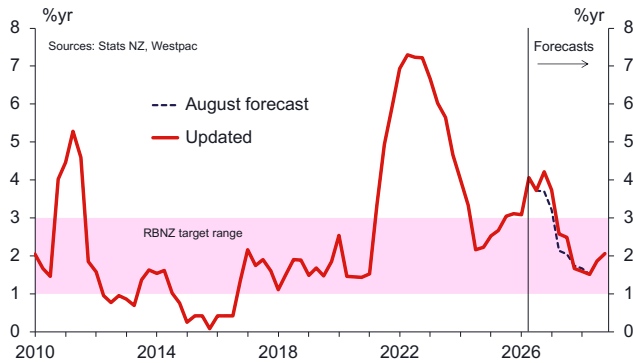
Drivers of NZ petrol prices



Sources: Macrobond, MBIE, RBNZ, Westpac

However, that easing in inflation appears set to be only a temporary reprieve. We now expect consumer prices to rise 1.1% in the December quarter. That would see annual inflation rising to a three-year high of 4.2% by the end of this year. The main driver of this revision are sharply higher global fuel prices, compounded by a more than 4% fall in the New Zealand dollar since the start of September. Together, those developments have already pushed local petrol prices up around 50 cents / litre over the past month, with the nationwide average price of 91 unleaded reaching a record \$3.53 / litre earlier this week.

Consumer price inflation forecasts



Our updated year-end inflation forecast is above the RBNZ's September projection of 3.9%. In a recent presentation, **Governor Breman noted** that the rise in oil prices meant the risks to the RBNZ's near-term inflation forecast were to the upside. However, she also noted that the RBNZ's focus was on the medium-term outlook.

We haven't changed our quarterly inflation forecasts for 2027 at this stage. However, the upward revision to our forecast for the December quarter means annual inflation is set to remain firm through most of 2027, consistent with the RBNZ's forecasts. We will review our 2027 forecasts for inflation and growth more comprehensively next week when we will also review our financial forecasts with the release of the Westpac Market Outlook.

Inflation forecasts

		Westpac		RBNZ
		Previous	Updated	
2026	Mar (a)	3.1	3.1	3.1
	Jun (a)	4.1	4.1	4.1
	Sep	3.7	3.7	3.9
	Dec	3.7	4.2	3.9
2027	Mar	3.2	3.7	3.7
	Jun	2.1	2.6	2.6
	Sep	2.0	2.5	2.4
	Dec	1.7	1.7	2.1

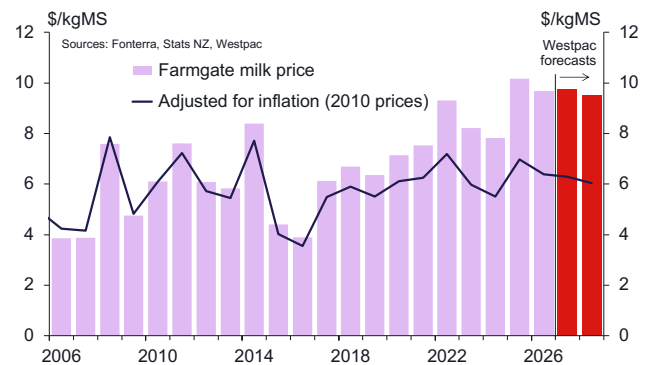
A more tepid housing market.

We had expected the housing market to stabilise through the second half of 2026. However, recent trends have disappointed. House sales volumes continue to weaken, and the median number of days required to sell a house has lengthened to 48 days. Not surprisingly, therefore, average house prices have continued to nudge lower despite more robust conditions in those areas – mostly in the South Island – that are most exposed to the well-performing export sector. The latest indicators suggest no imminent change in this trend.

Given these weak trends, our previous forecast for essentially flat house prices through the September and December quarters now looks too optimistic. We have revised down our house price forecast for the 2026 year from a rise of 0.6% y/y to a fall of 1.4% y/y on a national basis. This is consistent with quarterly falls in house prices of 0.5% and 0.8% q/q over the September and December quarters.

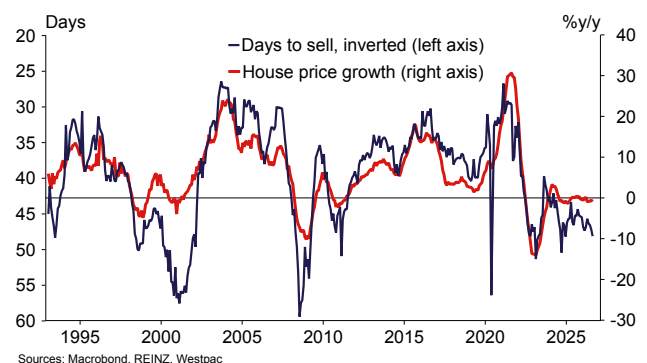
The still weak labour market, higher mortgage rates and still moderate employment growth all point to a weak housing market for the foreseeable future. Risks remain tilted towards another weak year in 2027. This would especially be the case if increased taxation of capital gains on investor housing were to occur as a result of the outcome of the 2026 General Election.

Farmgate milk price

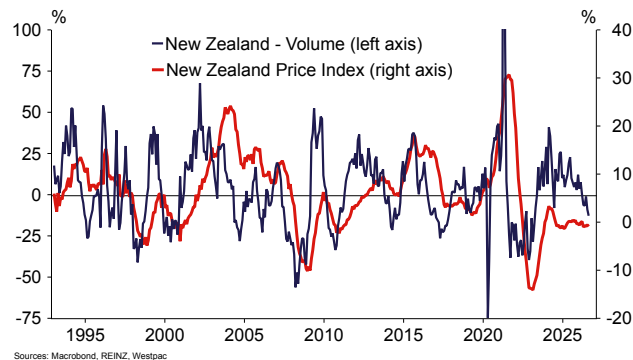


It's likely to be the case that there will be divergent trends in the housing market across the country. Income and employment trends in tourism and agriculture dominated regions are expected to remain robust. Our upgrade to the 2026/27 Milk Price released in our recent **Agri Bites report** emphasises this point. But it looks like it will be a while before investors and homeowners in the major metropolitan areas in the North Island will be feeling wealthier through a rising home value. On balance this is likely to crimp consumer spending attitudes through the end of 2026 and might moderate the recovery in the construction sector that is underway.

Annual house price growth and Median days to sell



Annual house price growth and house sales volumes



Growth forecasts moderated a touch.

Our short-term growth forecasts still appear to be in the ballpark of what seems likely given recent trends. Recent consumer and business confidence surveys have suggested resilience of the economy to recent rises in energy prices and long-term interest rates. However, it's likely the rise in energy prices in particular will eat into consumer spending appetites towards the end of 2026 should current levels of fuel prices be sustained.

We have knocked off a modest amount off our forecast for consumer spending in the December quarter to reflect these risks and will look more closely at the implications for 2027 growth in coming weeks. Certainly, the large rise in long term interest rates may be relevant for 2027 growth trends. The election outcome introduces two-sided risks to the 2027 growth outlook that are hard to quantify at this early stage. We currently expect 2.5% y/y growth for the 2026 year.

We don't see a need to change our labour market forecasts for 2026 at this point. Signs continue to accumulate suggesting strengthening employment growth – although it will be a while before a noticeable drop in the unemployment rate is evident.

Implications for the OCR.

We are leaving our forecasts of the OCR unchanged. Since the July 2026 Monetary Policy Review, we have anticipated the RBNZ will slow the pace of OCR increases now the 3% neutral level (in the RBNZ's view) is coming into view.

The RBNZ sent a clear signal that they expected to pause in October and raise the OCR just one more time in December. We still think this is the most likely scenario. The recent data has boosted the short-term inflation profile but at this stage there is little evidence of rising inflation expectations or more persistent inflationary pressures. There are some risks to the growth outlook – albeit two sided – to consider. Taking the time to assess

the impact of the OCR rises to date and the strategy going forward makes sense to us. We don't see a shift in the MPC's strategy in October.

We continue to think it most likely that the RBNZ will have more work to do in 2027. However, there is a lot of water to go under the bridge before then. The OCR increases that have occurred to date, and the one further expected increase in December will position the MPC well to respond to conditions in 2027 as they unfold. The unexpected rise in long term interest rates that has occurred in the last 6 weeks or so has tightened monetary conditions and has at least offset the easing in conditions coming from the weaker exchange rate over the same period.

Economic and financial forecasts

Economic indicators	Quarterly % change				Annual % change			
	Jun-26	Sep-26	Dec-26	Mar-27	2025	2026	2027	2028
GDP	0.2	0.6	0.7	1.1	1.6	2.5	3.0	3.4
GDP (annual average)	-	-	-	-	0.3	2.4	2.8	3.1
Consumer price index	1.5	0.7	1.1	0.4	3.1	4.2	1.7	2.1
Employment change	0.5	0.6	0.6	0.6	0.2	1.9	2.5	2.3
Unemployment rate	5.6	5.5	5.4	5.3	5.4	5.4	4.9	4.4
Labour cost index (all sectors)	0.6	0.6	0.6	0.5	2.0	2.3	2.3	2.3
Current account balance (% of GDP)	-3.2	-3.9	-4.1	-4.1	-3.0	-4.1	-4.0	-4.0
Terms of trade	-4.5	-0.6	1.8	2.7	3.3	-4.6	5.7	1.5
House price index	-0.3	-0.5	-0.8	0.3	-0.1	-1.4	1.8	4.1

Financial forecasts	End of quarter				End of year			
	Jun-26	Sep-26	Dec-26	Mar-27	2025	2026	2027	2028
Official Cash Rate	2.25	2.75	3.00	3.50	2.25	3.00	4.00	3.75
90 day bank bill	2.63	2.99	3.40	3.75	2.52	3.40	4.20	3.95
2 year swap	3.47	3.72	3.95	4.10	2.71	3.95	4.20	4.10
5 year swap	3.88	4.07	4.20	4.30	3.27	4.20	4.40	4.35
10 year bond	4.61	4.75	4.75	4.90	4.27	4.75	5.05	5.05
TWI	66.5	66.1	65.7	67.4	66.4	65.7	71.1	70.5
NZD/USD	0.58	0.58	0.59	0.61	0.57	0.59	0.65	0.65
NZD/AUD	0.82	0.82	0.82	0.84	0.87	0.82	0.89	0.90
NZD/EUR	0.50	0.51	0.50	0.51	0.49	0.50	0.54	0.54
NZD/GBP	0.44	0.43	0.43	0.44	0.43	0.43	0.47	0.46

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